

Dodd-Frank Impacts to Michigan Land Contracts

The Dodd-Frank Wall Street Reform and Consumer Protection Act impacts how land contracts are used in Michigan. The Department of Financial and Insurance Services is responsible for applying Dodd-Frank so that Michigan laws comply with federal law. Here are ways Dodd-Frank impacts land contracts in Michigan:

- Anyone (this includes natural persons, corporations, partnerships, trusts, etc.) offering mortgages or land contracts, or qualifying buyers for these items, must be licensed as a mortgage loan originator (MLO) if they execute four or more land contracts for residential, owner-occupied housing during a 12-month period. This limits the number of transactions a seller or investor may do in a year before being required to obtain an MLO license.
 - The property must be owned by the seller and be used as security for the financing.
 - The seller can't have constructed the property.
 - The financing can't have balloon payments or negative amortization. Financing must fully amortize and the interest rate either needs to be fixed or adjustable only after five or more years.
 - The seller must determine that the buyer has a reasonable ability to repay. The rules make buyer qualification for land contracts nearly equivalent to the qualification rules for conventional lenders. So now, buyers who sought land contracts because they didn't qualify for conventional financing are unlikely to qualify for a land contract as well.
- Any person, estate, or trust executing only one land contract in a 12-month period doesn't need an MLO license.
 - The property must be owned by the seller and be used as security for the financing.
 - The seller can't have constructed the property.
 - The financing can include a balloon payment, and the interest rate either needs to be fixed or adjustable only after five or more years.
 - The seller isn't required to qualify a buyer's ability to repay, but the financing must include a repayment schedule (that doesn't negatively amortize).

Buyers can terminate the contract if the seller doesn't comply with Dodd-Frank. Buyers can also seek to get their money back, damages, and reimbursement of fees and court costs.